

TENTATIVE RULINGS

DEPT C34

JUDGE H. SHAINA COLOVER

LAW AND MOTION IS HEARD ON THURSDAY AT 1:30 P.M.

Tentative Rulings: The Court endeavors to post tentative rulings on the Court's website by 10:00 a.m. in the morning, prior to the afternoon hearing. However, ongoing proceedings may prevent posting by that time. Do not call the Department for tentative rulings if none are posted. Tentative rulings may not be posted on every case. The Court will not entertain a request to continue the hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on Tentative Rulings: If all parties involved in the subject matter intend to submit on the tentative ruling and do not desire oral argument, then *counsel for each such party shall call* and advise the Courtroom Clerk or Courtroom Attendant by calling **(657) 622-5234** before 12:00 pm on the day of the hearing. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party (or whomever the Court assigns in the ruling) shall give notice of the ruling and prepare an order for the Court's signature, if appropriate, under Cal. R. Ct. 3.1312.

Non-Appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

Appearances: Remote and In-Person Proceedings. Department C34 (NOT N6- Please no reserving/filing of motions in N6) conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing remotely for the Law and Motion Calendar must check-in online through the Court's website at <https://www.occourts.org/media-relations/civil.html>, prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Check-in instructions and instructional video are available at <https://www.occourts.org/media-relations/aci.html>. Parties preferring to appear in-person for law and motion hearings may do so pursuant to CCP §367.75 and OCLR 375.

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are NOT typically provided for law and motion matters in this Department. If a party desires a record of a law and motion proceeding, it must provide a court reporter. The Court's policy on privately retained court reporters is available on the Court's website at: [Privately-Retained Court Reporter Policy](#).

Public Access: The courtroom remains open for all evidentiary and non-evidentiary proceedings. **No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and OCLR 180.**

TENTATIVE RULINGS

Date: May 21, 2026

#	Case Name	Tentative
2.	30-2025-01492997 Dymek vs. Ford Motor Company	1. Case Management Conference 2. Demurrer to Complaint Defendant, Ford Motor Company’s demurrer directed at the Complaint of Plaintiff Kristin Dymek (ROA 28) set for hearing on May 21, 2026, is MOOT. A First Amended Complaint was filed on May 8, 2026. (ROA 40). When a plaintiff files an amended complaint after a demurrer or motion directed to the original complaint is filed, but before they are decided, the demurrer or motion becomes moot. (<i>JKC3H8 v. Colton</i> (2013) 221 Cal.App.4th 468, 477; <i>State Compensation Ins. Fund v. Superior Court</i> (2010) 184 Cal.App.4th 1124, 1130-1131; <i>Sylmar Air Conditioning v. Pueblo Contracting Services, Inc.</i> (2004) 122 Cal.App.4th 1049, 1054. “[A] plaintiff has a right to amend his or her pleading at any time before a responsive pleading is filed and even after a responsive pleading is filed up to the time of the hearing on the demurrer.” (<i>Barton v. Khan</i> (2007) 157 Cal.App.4th 1216, 1221 [finding that trial court erred in refusing to accept the amended complaint for filing and explaining that the clerk should have accepted amended complaint filed three days before hearing on a demurrer to complaint, and had clerk done so, the hearing on the demurrer would have been taken off calendar].) Accordingly, the hearing on May 21, 2026, is VACATED. The <u>Case Management Conference</u> is CONTINUED to July 16, 2026 at 9:00 am in Department C34. The Court orders clerk to give notice.
3.	30-2025-01507320 Jin vs. Newport Beach Police Department	1. Case Management Conference 2. Demurrer to Complaint Defendant Newport Beach Police Department (“Department”), moves the Court for an Order sustaining its Demurrer to Plaintiff Chun Jin’s (“Plaintiff”) Complaint. Notably, all papers opposing a motion “shall be filed with the court and a copy served on each party at least nine court days” before the hearing. [Code Civ. Proc. § 1005(b).] The failure to oppose a demurrer may be construed as having abandoned the claims. [See <i>Herzberg v. County of Plumas</i> (2005) 133 Cal. App. 4th 1, 20 --“Plaintiffs did not oppose the County's demurrer to this portion of their seventh cause of action and have submitted no argument on the issue in their briefs on appeal. Accordingly, we deem plaintiffs to have abandoned the issue”.] In addition, it is axiomatic the failure to challenge a contention in a brief results in the concession of that argument. [<i>DuPont Merck Pharmaceutical Co. v. Sup. Ct.</i> (2000) 78 Cal.App.4th 562, 566--“By failing to argue the contrary, plaintiffs concede this issue”; <i>Westside Center Associates v. Safeway Stores 23, Inc.</i> (1996) 42 Cal.App.4th 507, 529--“failure to address

		the threshold question ... effectively concedes that issue and renders its remaining arguments moot”; <i>Glendale Redevelopment Agency v. Parks</i> (1993) 18 Cal.App.4th 1409, 1424--issue is impliedly conceded by failing to address it.] Here, no opposition to the demurrer has been filed; therefore, the Court deems the motion unopposed and construes the failure to oppose the demurrer as an abandonment of Plaintiffs’ claims. While the Court notes Plaintiff is in Pro Per, Pro Pers must abide by the Code of Civil Procedure and Cal. Rules of Court: (See <i>Gamet v. Blanchard</i> (2001) 91 Cal.App.4th 1276, 1284 [“pro per litigants are not entitled to special exemptions from the California Rules of Court or Code of Civil Procedure”].) Moreover, the fact that plaintiff is in pro per does not afford him special treatment. [<i>Nwosu v. Uba</i> (2004) 122 Cal.App.4th 1229, 1246-1247.] Therefore, the unopposed demurrer to the Complaint is SUSTAINED in its entirety with <u>20 days leave to amend</u>. Defendant to give notice.
5.	30-2025-01498594 Law vs. Nabati	1. Case Management Conference 2. Demurrer to Complaint Defendant Brian Gregory Hopkins (“Hopkins”) demurs to the first, fourth and sixth causes of action in Plaintiff Deanna Law’s (“Plaintiff”) Complaint. <u>Fourth Cause of Action for Breach of Written Contract</u> Hopkins demurs to the fourth cause of action for breach of written contract on the grounds that the Complaint does not plead a written contract to which Hopkins is a party. “To state a cause of action for breach of contract, a party must plead the existence of a contract, his or her performance of the contract or excuse for nonperformance, the defendant’s breach and resulting damage.” (<i>Harris v. Rudin, Richman & Appel</i> (1999) 74 Cal.App.4th 299, 307.) Pursuant to Civil Code section 1550, the elements of a contract include: (1) Parties capable of contracting; (2) Their consent; (3) A lawful object; and (4) A sufficient cause or consideration. (Civ. Code, §1550.) Exhibit A to the Complaint is the purported written contract. The alleged contract is not executed by Hopkins, but appears to have been written by Hopkins’ co-defendant, Michael Nabati. The contract references Hopkins as Nabati’s agent and, additionally, refers to work that “we” will perform for Plaintiff. (Compl., Exh. A.) Viewing the writing as a whole, it appears that “we” refers to Nabati and Hopkins. The general allegations of the Complaint plead that Hopkins and Nabati were in a joint venture for the purpose of engaging in a “fix and flip” of the property at issue in this case. (Compl. ¶ 9.) “A joint venture has been defined in various ways, but most frequently perhaps as an association of two or more persons who combine their property, skill or knowledge to carry out a single business enterprise for profit.” (<i>Holtz v. United Plumbing and Heating Co.</i> (1957) 49 Cal.2d 501, 506.) “The incidents of a joint venture are in all important respects the same as those of a partnership. One such incident of partnership is that all partners are jointly and severally liable for

partnership obligations, irrespective of their individual partnership interests.” (*Myrick v. Mastagni* (2010) 185 Cal.App.4th 1082, 1091, internal citations omitted.)

In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) Accepting the allegations of the Complaint as true, Plaintiff has sufficiently pled a theory upon which Hopkins could be held liable for breach of the contract.

Hopkins additionally contends that the writing is not a contract because there is no offer, acceptance or consideration and it is not signed by any party. The absence of signatures does not render a contract unenforceable. (*Vita Planning & Landscape Architecture, Inc. v. HKS Architects, Inc.* (2015) 240 Cal.App.4th 763, 773.) Rather, it is the conduct of the parties that determines whether there has been consent to an agreement. (See, *ibid.*) Further, the Complaint sufficiently pleads offer, acceptance and consideration. Defendants allegedly agreed to “take full responsibility for all costs associated with the permit, including but not limited to the cost of plans, city fees, architectural fees as well as any work we may have to do to the house to satisfy the inspector.” (Compl. ¶ 58; Exh. A.) In exchange “Plaintiff agreed to close escrow on the Property, and moved into the Property with her children.” (Compl. ¶ 59.)

Accordingly, the demurrer to the **fourth cause** of action is **OVERRULED**.

Sixth Cause of Action for Breach of Implied Covenant of Good Faith and Fair Dealing

Hopkins contends that, because no underlying contract has been pled, the breach of implied covenant of good faith and fair dealing cause of action necessarily fails as well.

As the Court finds that Plaintiff has sufficiently pled a written contract, the demurrer to the **sixth cause of action** is **OVERRULED**.

First Cause of Action for Fraud – Intentional Misrepresentation

Hopkins contends that Plaintiff’s fraud (intentional misrepresentation) cause of action is uncertain as to Hopkins and that Plaintiff has failed to plead facts sufficient to constitute a cause of action for fraud because Plaintiff has failed to allege with specificity what statements, if any, were made by Hopkins; nor does it plead knowledge of falsity or intent to defraud.

Here, the Complaint pleads:

On or about June 7, 2022, Defendant Nabati and Hopkins each executed the required Real Estate Transfer Disclosure Statement which included Seller’s Information and Agent’s Inspection Disclosure (“Disclosures”). Plaintiff and her broker each executed the documents on June 8, 2022 acknowledging receipt of copies of the Disclosures. It was at this time that Defendant Nabati and Hopkins first disclosed to Plaintiff that perhaps some of the Renovations performed at the Property had been performed without permits. The Disclosure specifically stated: “Seller has made certain upgrades to the property that in certain situations would require a permit, such as upgrades to plumbing, electrical, mechanical as well as structural beam work where walls were removed and replaced with beams and posts to create an ‘open floor plan’. All work was done to a quality standard at or above typical building code requirements. . . .

Plaintiff is informed and believes, and on that basis alleges, that both Defendant Nabati and Hopkins knew, or should have known, that the Renovations were not “done to a quality standard at or above typical building code requirements,” that “structural

		modifications, or other alterations or repairs” were not in compliance with applicable building codes, that “notices of abatement or citations against the property” had been issued, that they had hired unlicensed workers to perform the Renovations, that architectural and engineering plans and specifications were not prepared, that structural, electrical, mechanical, and Title 24 engineering calculations were not performed, that required permits were not obtained, and that required building inspections were not performed all in furtherance of their mutual business purpose of maximizing profits on the “fix & flip” of the Property. (Compl. ¶¶ 16-17.) The above is sufficient to meet the heightened pleading requirements for a fraud cause of action. To the extent that additional fraudulent statements are alleged that have not been pled with sufficient specificity, additional information can be obtained through discovery. This is because a general demurrer does not lie to only part of a cause of action. If there are sufficient allegations to entitle plaintiff to relief, other allegations cannot be challenged by general demurrer. (<i>Daniels v. Select Portfolio Servicing, Inc.</i> (2016) 246 Cal.App.4th 1150, 1167, (disapproved on other grounds by <i>Sheen v. Wells Fargo Bank, N.A.</i> (2022) 12 Cal.5th 905, 948 & fn. 12).) Accordingly, the demurrer to the <u>first cause of action</u> is OVERRULED. Plaintiff’s objections to the Slome Declaration are SUSTAINED. Defendant Hopkins shall file his <u>Answer within 20 days</u>. Plaintiff to give notice.
6.	30-2024-01382035 Frank Recruitment Group, Inc vs. Loko AI, Inc	1. Motion to Appear Pro Hac Vice Plaintiff/Cross-Defendant, Frank Recruitment Group Inc.’s Application for Admission <i>Pro Hac Vice</i> of Michael J. Burns is GRANTED. The verified application contains the information required by California Rules of Court, rule 9.40, and demonstrates compliance with the service and fee requirements. (See Declaration of Michael J. Burns; Declaration of Patrick A. Hormillosa, ¶ 4.) Moving party to give notice.
7.	30-2025-01507508 Elevated Health, Inc vs. UHC of California	1. Motion to Appear Pro Hac Vice The unopposed application of attorney Robert Keefe of the law firm Boies Schiller Flexner LLP to appear pro hac vice on behalf of Defendant UHC of California is GRANTED. Moving attorney met the requirements of California Rules of Court, rule 9.40, and demonstrates compliance with the service and fee requirements. Moving attorney to give notice.

9.	30-2025-01503814 Memory Lane Homeowners Association vs. Grace	1. Case Management Conference 1. Motion to Deem Facts Admitted Plaintiff Memory Lane Homeowners Association (“Plaintiff”) moves for an order (1) deeming the truth of all matters specified in Plaintiff’s first set of Requests for Admission as admitted; and (2) imposing monetary sanctions on Defendant Andrew Robert Grace (“Defendant”). Code of Civil Procedure section 2033.280(b) provides that, when a party fails to serve a timely response to requests for admission, “[t]he requesting party may move for an order that the genuineness of any documents and the truth of any matters specified in the requests be deemed admitted, as well as for a monetary sanction under Chapter 7 (commencing with Section 2023.010).” Subdivision (c) provides that the Court shall make this order, “unless it finds that the party to whom the requests for admission have been directed has served, before the hearing on the motion, a proposed response to the requests for admission that is in substantial compliance with Section 2033.220.” CCP §2033.280 provides that “It is mandatory that the court impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) on the party or attorney, or both, whose failure to serve a timely response to requests for admission necessitated this motion.” Plaintiff served the written discovery on Defendant on November 19, 2025. (Decl. of Frank Mickadeit ¶ 1.) Defendant failed to serve any responses by the December 24, 2025. (<i>Id.</i>, ¶ 2.) As of the date of filing of the Motion, Defendant has served no responses. (<i>Id.</i>, ¶ 3.) In light of the above, Plaintiff’s unopposed Motion is GRANTED. The matters in Plaintiff’s requests for admission are deemed admitted. The Court GRANTS Plaintiff monetary sanctions against Defendant in the amount of \$457.50 (1.5 hrs at \$265/hr + \$60 filing fee). Sanctions are due and payable to Plaintiff’s counsel within 30 days of notice of this order. Plaintiff to give notice.
10.	30-2025-01456639 Marsh vs. General Motors LLC	1. Motion for Judgment on the Pleadings Defendant, General Motors, LLC (“GM”), moves for judgment on the pleadings as to all five causes of action asserted in the Complaint of Plaintiff, Robert Elliot Marsh (“Plaintiff”). The Motion is GRANTED, with 30 days leave to amend, as follows. “[A] motion for judgment on the pleadings is appropriate where the operative complaint does not state facts sufficient to constitute a cause of action against the named defendant.” (<i>Barajas v. Sativa L.A. Cnty. Water Dist.</i> (2023) 91 Cal.App.5th 1213, 1224, quotation marks and alteration omitted, review denied (Aug. 9, 2023).) “A motion sought on this basis is equivalent to a demurrer such that [the court’s] task is to examine the operative complaint’s allegations and any judicially noticed documents in order to assess whether the pled cause of action is legally viable.” (<i>Id.</i>, citation omitted.) Factual allegations are accepted as true and are given a liberal construction. (<i>Gerawan Farming, Inc. v. Lyons</i> (2000) 24 Cal.4th 468, 515-516.) Extrinsic evidence is not considered on a motion for judgment on the pleadings. (<i>Cloud v. Northrop Grumman Corp.</i> (1998) 67 Cal.App.4th 995, 999.)

If a motion for judgment on the pleadings is granted, it may be granted with or without leave to amend. (Code Civ. Proc. § 438(h)(1).) If leave to amend is granted, the party against whom the motion is granted must be given 30 days to file an amended pleading. (Code Civ. Proc. § 438(h)(2).)

First Through Fourth Causes of Action

Civil Code section 1794 states, in relevant part: “Any buyer of consumer goods who is damaged by a failure to comply with any obligation under this chapter or under an implied or express warranty or service contract may bring an action for the recovery of damages and other legal and equitable relief.” (Civil Code § 1794(a).) “The measure of the buyer’s damages in an action under this section shall include the rights of replacement or reimbursement set forth in subdivision (d) of Section 1793.2, among other damages.” (Civil Code § 1794(b).) Civil Code section 1793.2(d)(2) provides, “[i]f the manufacturer or its representative in this state is unable to service or repair a new motor vehicle, as that term is defined in paragraph (2) of subdivision (e) of Section 1793.22, to conform to the applicable express warranties after a reasonable number of attempts, the manufacturer shall either promptly replace the new motor vehicle . . . or promptly make restitution to the buyer . . .” (Civil Code section 1793.2(d)(2).)

“Section 1793.2, subdivision (d)(2) gives new car buyers what is known as a refund-or-replace remedy: It requires manufacturers to ‘promptly replace’ a defective new motor vehicle or ‘promptly make restitution’ to the buyer when the manufacturer is ‘unable to service or repair a new motor vehicle, as that term is defined in paragraph (2) of subdivision (e) of Section 1793.22, to conform to the applicable express warranties after a reasonable number of attempts.’ ” (Rodriguez v. FCA US LLC (2024) 17 Cal.5th 189, 195.) “[A] motor vehicle purchased with an unexpired manufacturer’s new car warranty does not qualify as a ‘motor vehicle sold with a manufacturer’s new car warranty’ under section 1793.22, subdivision (e)(2)’s definition of ‘new motor vehicle’ unless the new car warranty was issued with the sale.” (Id. at p. 196.)

Here, the Complaint alleges, “[o]n or about July 3, 2021, Plaintiff entered into a warranty contract with [GM] regarding a 2018 GMC Yukon, vehicle identification number 1GKS1BKC8JR172187 [], which was manufactured and or distributed by [GM].” (Complaint, ¶ 6.) The Complaint purports to attach a copy of the warranty contract as Exhibit A. (Complaint, ¶ 7.) Exhibit A consists of a document dated 2018 and entitled, “Limited Warranty and Owner Assistance Information.”

While Plaintiff contends that GM issued a certified pre-owned warranty with this sale and chose to offer a new warranty with the sale of the subject 2018 GMC Yukon, these contentions are extrinsic to the Complaint. No such allegations are made in the Complaint, nor does Exhibit A support such assertion. A demurrer can only be used to challenge defects that appear on the face of the pleading or from matters outside the pleading that are judicially noticeable. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) No other extrinsic evidence can be considered. (Ion Equip. Corp. v. Nelson (1980) 110 Cal.App.3d 868, 881.)

Based on the foregoing, the first through fourth causes of action brought pursuant to Civil Code section 1794 fail to state facts sufficient to constitute causes of action. The motion for judgment on the pleadings as to the **first through fourth causes of action** is **GRANTED**, with **30 days’ leave to amend.**

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Fifth Cause of Action for Fraudulent Inducement – Concealment

Statute of Limitations

In order for the statute of limitations bar to be raised by demurrer, it is not enough that the action may be time-barred, it must appear that the action is time-barred. (*Marshall v. Gibson, Dunn & Crutcher* (1995) 37 Cal.App.4th 1397, 1403.) “A general demurrer based on the statute of limitations is only permissible where the dates alleged in the complaint show that the action is barred by the statute of limitations.” (*Roman v. County of Los Angeles* (2000) 85 Cal.App.4th 316, 324, citation omitted.) “The running of the statute must appear ‘clearly and affirmatively’ from the dates alleged. It is not sufficient that the complaint *might* be barred. [Citation.] If the dates establishing the running of the statute of limitations do not clearly appear in the complaint, there is no ground for general demurrer. The proper remedy ‘is to ascertain the factual basis of the contention through discovery and, if necessary, file a motion for summary judgment....’ [Citation.]” (*Id.* at pp. 324-325.)

Code of Civil Procedure section 338, subdivision (d), states, “Within three years: . . . [¶] (d) An action for relief on the ground of fraud or mistake. The cause of action in that case is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.” “A cause of action for fraud accrues when the injured party could have discovered the fraud or mistake through the exercise of reasonable diligence [citations], and actual knowledge is not required for accrual if ‘a plaintiff knows facts that should raise suspicion and trigger a further investigation.’ [Citation.]” (*Medallion Film LLC v. Loeb & Loeb LLP* (2024) 100 Cal.App.5th 1272, 1291.) An action for fraud “accrues when a plaintiff first learns that a fraud may have occurred, so long as he or she could have confirmed the fraud through further investigation.” (*Hacker v. Homeward Residential, Inc.* (2018) 26 Cal.App.5th 270, 282 [finding action for fraud accrued when it was learned that there were questionable title documents related to an assignment of property].)

Here, the Complaint alleges that Plaintiff entered into a warranty contract with GM for the subject 2018 GMC Yukon on or about July 3, 2021. (Complaint, ¶ 6.) The Complaint alleges, “Defects and nonconformities to warranty manifested themselves within the applicable express warranty period, including but not limited to engine defects, transmission defects, climate control defects, electrical defects; among other defects and non-conformities.” (Complaint, ¶ 11.) The Complaint also alleges: “To the extent there are any statutes of limitation applicable to Plaintiff’s claims including, without limitation, the express warranty and implied warranty– the running of the limitation periods have been tolled by, *inter alia*, the following doctrines or rules: equitable tolling, the discovery rule, equitable estoppel, the repair rule, and/or class action tolling (e.g., *the American Pipe rule*).” (Complaint, ¶ 23.) The Complaint additionally alleges: “Plaintiff discovered Defendant’s wrongful conduct alleged herein shortly before the filing of the complaint, as the Vehicle continued to exhibit symptoms of defects following GM’s unsuccessful attempts to repair them.” (Complaint, ¶ 24.) The Complaint was filed on January 28, 2025.

These allegations do not clearly and affirmatively show that fifth cause of action is barred by the three-year statute of limitations. Thus, motion for judgment on the pleadings to the **fifth cause of action on the ground that it is barred by the statute of limitations** is **DENIED**.

Duty to Disclose

“The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the

material fact. [Citation.]”
(*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40 (“*Rattagan*”).)

“A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff’s fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment).” (*Rattagan, supra*, 17 Cal.5th at p. 40.) “Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as ‘between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.] All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.’ [Citation.]” (*Id.* at pp. 40-41.) Circumstances (3), (4), and (5) are at issue here.

Plaintiff argues that Plaintiff has alleged that he went to a GM dealership and purchased the subject 2018 GMC Yukon, as well that GM communicates with car buyers directly through advertising, websites, window stickers, and other marketing materials which provides opportunity for GM to make disclosures of material fact, but no such allegations are contained in the Complaint.

Instead, the Complaint alleges only that Plaintiff entered into a warranty contract with GM regarding the subject 2018 GMC Yukon, and that GM concealed its knowledge of the “defective 5.3L Engine in its marketing materials, relied upon by Plaintiff.” (Complaint, ¶¶ 6, 66.) Insufficient facts are pled to support that a buyer-seller relationship between Plaintiff and GM. Consequently, Plaintiff fails to plead facts establishing GM had a duty to disclose. Accordingly, the Court **GRANTS**, with **30 days’ leave to amend**, the motion for judgment on the pleadings as to the **fifth cause of action on this basis**.

Sufficiency of Pleading

“Fraud, including concealment, must be pleaded with specificity. [Citation.]” (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843-844 (“*Dhital*”).) To survive demurrer, plaintiff must plead facts that “show how, when, where, to whom, and by what means the representations were tendered.” (*Hamilton v. Greenwich Investors XXVI, LLC* (2011) 195 Cal.App.4th 1602, 1614.) Plaintiff is held to an even higher standard when alleging a fraud claim against a corporate defendant. In that case, plaintiff must “allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) However, this level of specificity may not be required in cases involving nondisclosure. (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384.) “One of the purposes of the specificity requirement is ‘notice to the defendant, to “furnish the defendant with certain definite charges which can be intelligently met.” ’ [Citation.] Less specificity should be required of fraud claims ‘when “it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy,” [citation]; “[e]ven under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party” ’ [Citation.]” (*Ibid.*)

“A plaintiff may allege on information and belief any matters that are not within his personal knowledge, *if he has information leading him to believe that the allegations are true* [citation], and thus a pleading made on information and belief is insufficient if it merely asserts the facts so alleged without alleging such information that leads the plaintiff to believe that the allegations are true.” (*Gomes v. Countrywide Home Loans, Inc.* (2011) 192 Cal.App.4th 1149, 1158, emphasis in original, internal quotations and citations omitted.)

The Court of Appeal in *Dhital* found that the plaintiffs sufficiently alleged the elements for fraudulent inducement by concealment with sufficient specificity where “plaintiffs alleged the CVT transmissions installed in numerous Nissan vehicles (including the one plaintiffs purchased) were defective; Nissan knew of the defects and the hazards they posed; Nissan had exclusive knowledge of the defects but intentionally concealed and failed to disclose that information; Nissan intended to deceive plaintiffs by concealing known transmission problems; plaintiffs would not have purchased the car if they had known of the defects; and plaintiffs suffered damages in the form of money paid to purchase the car.” (*Dhital, supra*, 84 Cal.App.5th at pp. 843-844.)

Here, the fifth cause of action alleges, “Plaintiff is informed and believes, and based thereon alleges, that the 5.3L Engine and/or its related components installed in the Subject Vehicle suffer from one or more defects that can result in loss of power, stalling, engine running rough, engine misfire(s), failure or replacement of the engine (the ‘Engine Defect’).” (Complaint, ¶ 47.) It is additionally alleged on information and belief, that the Engine Defect causes premature wear to the 5.3L Engine and engine-related components, such as premature engine failure, requiring expensive repairs, and that prior to the sale of the subject 2018 GMC Yukon, GM had exclusive knowledge of the alleged Engine Defect through non-public, internal data including pre-releasing testing data, early consumer complaints about the Engine Defect to GM’s dealers who are GM’s agents for vehicle repairs, dealership repair orders, testing conducted in response to those complaint, but actively concealed the Engine Defect and failed to disclose this defect to Plaintiff at the time of purchase of the subject vehicle or thereafter. (Complaint, ¶¶ 50-51, 56-59.)

While Plaintiff has made allegations akin those that were found sufficient in *Dhital*, *Dhital* did not involve an argument that Plaintiff’s allegations were made on “information and belief” and did not allege the information that led the plaintiff to believe that the allegations were true. Plaintiff, here, makes a number of allegations only “information and belief.” In this regard, Plaintiff has not sufficiently alleged the information that leads the Plaintiff to believe that the subject 2018 GMC Yukon suffered from the alleged Engine Defect, or that leads Plaintiff to believe that that GM had prior, exclusive knowledge of the alleged Engine Defect based on pre-release testing data. In addition, because the Complaint does not allege facts showing a transactional relationship sufficient to support a duty to disclose, intent to induce reliance and justifiable reliance is not sufficiently pled.

Economic Loss Rule

The Court finds *Rattagan* to be distinguishable and *Dhital* to be controlling.

Rattagan is not a Song-Beverly case, and the California Supreme Court distinguished *Rattagan* from *Dhital* stating: “*Rattagan*’s tort claims are, of course, based on alleged conduct committed during the contractual relationship but purportedly outside the parties’ chosen rights and obligations. This court has granted review in two other cases — *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 300 Cal.Rptr.3d 715, review granted Feb. 1, 2023, S277568 and *Kia America v. Superior Court* (Feb. 3, 2022, D079858) [nonpub. opn.], review granted Apr. 20, 2022, S273170 — both of which involve claims of fraudulent inducement by concealment claims as well as the potential interplay with remedies available under the Song-Beverly Consumer

Warranty Act (Civ. Code, § 1791 et seq.). We do not address these issues here.” (*Id.* at p. 41, fn. 12.)

Under California law, the economic loss rule does not bar a plaintiff’s claim for fraudulent inducement by concealment, and fraudulent inducement claims fall within an exception to the economic loss rule recognized in *Robinson*. (*Dhital, supra*, 84 Cal.App.5th at p. 843.) “A plaintiff may assert a fraudulent concealment clause of action based on conduct occurring in the course of a contractual relationship if the elements of the claim can be established independently of the parties’ contractual rights and obligations, and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract.” (*Rattagan, supra*, 17 Cal.5th at p. 13.) Based on the above authorities, the economic loss rule does not outright bar a plaintiff’s claim for fraudulent inducement-concealment.

The Court of Appeal in *Dhital* concluded as follows:

Applying *Robinson* here (and cognizant that our Supreme Court may soon provide additional guidance), we conclude plaintiffs’ claim for fraudulent inducement by concealment is not subject to demurrer on the ground it is barred by the economic loss rule. *Robinson* left undecided whether concealment-based claims are barred by the economic loss rule. **What follows from its analysis, however, is that concealment-based claims for fraudulent inducement are not barred by the economic loss rule.** The reasoning in *Robinson* affirmatively places fraudulent inducement by concealment outside the coverage of the economic loss rule. **We now hold that the economic loss rule does not cover such claims.** First, as discussed, *Robinson* identified fraudulent inducement as an existing exception to the economic loss rule, before it proceeded to analyze the particular claims at issue in that case relating to fraud during the performance of a contract. (*Robinson, supra*, 34 Cal.4th at pp. 989–990.) For fraudulent inducement and the other existing exceptions listed in *Robinson*, “the duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm.” (*Id.* at p. 990.)

(*Dhital, supra*, 84 Cal.App.5th at pp. 724–725, emphasis added.)

The Court of Appeal in *Dhital* further reasoned “that independence is present in the case of fraudulent inducement (whether it is achieved by intentional concealment or by intentional affirmative misrepresentations), because a defendant’s conduct in fraudulently inducing someone to enter a contract is separate from the defendant’s later breach of the contract or warranty provisions that were agreed to.” (*Dhital, supra*, 84 Cal.App.5th at p. 841.) Thus, the Court of Appeal found that the plaintiffs’ fraudulent inducement claim alleged presale conduct by Nissan (concealment) that was distinct from Nissan’s alleged subsequent conduct in breaching its warranty obligations, and concluded that “under California law, the economic loss rule does not bar plaintiffs’ claim here for fraudulent inducement by concealment”; that fraudulent inducement claims fall within an exception to the economic loss rule recognized in *Robinson*, and that the plaintiffs alleged fraudulent conduct that was independent of Nissan’s alleged warranty breaches. (*Id.* at pp. 841, 843.)

Here, applying *Dhital*, the economic loss rule does not bar Plaintiff’s fifth cause of action for fraudulent inducement – concealment. Plaintiffs’ fraudulent inducement claim alleges presale conduct by GM in concealing and failing to disclose material facts relating to the Engine Defect that were known to prior to the sale of the subject 2018 GMC Yukon, which is distinct from GM’s

		alleged subsequent conduct in breaching its warranty obligations. (Complaint, ¶¶ 51, 53-54, 56, 62.) The motion for judgment on the pleadings based on the economic loss rule is DENIED. Plaintiff to file and serve a First Amended Complaint within 30 days, consistent with the ruling above. GM to give notice.
12.	30-2024-01432573 Cho vs. Lennar Homes of California, LLC	1. Motion for Summary Judgment and/or Adjudication NO TENTATIVE YET, PLEASE CHECK BACK.
13.	30-2024-01379003 Dib vs. Daher	1. Motion for Summary Judgment and/or Adjudication 2. Motion for Terminating Sanctions 3. Motion to Vacate <u>Motion 1- Defendant Hien Nguyen’s Motion for Summary Judgment/Adjudication</u> Defendant Hien Nguyen (“Defendant”) moves for summary judgment or adjudication in her favor as to the: (1) first cause of action for fraudulent transfers in violation of Civil Code section 3439.04, (2) second cause of action for conspiracy to fraudulently convey property, (3) third cause of action for aiding and abetting fraudulent conveyance of property, (4) fourth cause of action for accounting, and (5) fifth cause of action for imposition of a constructive trust and/or preliminary and permanent injunction, and accounting. Plaintiffs Joseph Dib and R&R Life is Amazing (“Plaintiffs”) oppose the motion. Based on applicable law, and as set forth herein, the Motion is GRANTED in its entirety. “Summary judgment is properly granted if ‘there is no triable issue as to any material fact and ... the moving party is entitled to a judgment as a matter of law.’” (<i>Mitchell v. Hutchinson</i> (2025) 112 Cal.App.5th 1012, 1016 [citing Code Civ. Proc., § 437c, subd. (c)].) “A defendant seeking summary judgment must show that the plaintiff cannot establish at least one element of the cause of action.” (<i>Id.</i> [citing <i>Regents of University of California v. Superior Court</i> (2018) 4 Cal.5th 607, 618 and Code Civ. Proc., § 437c, subd. (p)(2)].) “If the defendant makes this showing, ‘the burden shifts to the plaintiff ... to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.’” (<i>Id.</i> [citing Code Civ. Proc., § 437c, subd. (p)(2)].) 1. First Cause of Action for Fraudulent Transfers in Violation of Civil Code Section 3439.04 Defendant Nguyen argues that she is entitled to summary adjudication on the first cause of action for fraudulent transfers in violation of Civil Code section 3439.04 because she “purchased the Subject Property in good faith and for a reasonably equivalent value pursuant to Civil Code section 3439.08, which is a complete defense to Plaintiffs’ Cause of Action.”

Importantly, “[t]he plain language of section 3439.01 demonstrates an individual need not have a judgment to have a claim, as does section 3439.04, which provides certain transfers are voidable as to a creditor ‘whether the creditor’s claim arose before or after the transfer was made’ (§ 3439.04, subd. (a)).” (*Potter v. Alliance United Ins. Co.* (2019) 37 Cal.App.5th 894, 909.)

“With an exception not pertinent here, a claim is ‘a right to payment, whether or not the right is reduced to judgment, liquidated, unliquidated, fixed, contingent, matured, unmatured, disputed, undisputed, legal, equitable, secured, or unsecured.’” (*Potter v. Alliance United Ins. Co.* (2019) 37 Cal.App.5th 894, 909 [citing Civ. Code, § 3439.01, subd. (b)].)

A “conveyance by a debtor of an interest in such property with the intent to defraud creditors is a fraudulent conveyance under Civil Code section 3439.04.” (*Reddy v. Gonzalez* (1992) 8 Cal.App.4th 118, 122, modified (Aug. 4, 1992).)

“Civil Code section 3439.08, subdivision (a) provides a defense to an action based on section 3439.04, subdivision (a).” (*Annod Corp. v. Hamilton & Samuels* (2002) 100 Cal.App.4th 1286, 1294.)

Section 3439.08 states:

“(a) A transfer or obligation is not voidable under paragraph (1) of subdivision (a) of Section 3439.04, against a person that took in good faith and for a reasonably equivalent value given the debtor or against any subsequent transferee or obligee.” (Civ. Code, § 3439.08, subd. (a).)

“Thus, a showing of good faith and reasonably equivalent value is all that is required to defeat a creditor’s action based on section 3439.04, subdivision (a).” (*Annod Corp. v. Hamilton & Samuels* (2002) 100 Cal.App.4th 1286, 1294.) “Obviously, if a transfer is made both in good faith and for a reasonably equivalent value, then the transfer is not a fraudulent transfer under section 3439.04, subdivision (b), either, since subdivision (b) applies only to transfers made without receipt of reasonably equivalent value.” (*Ibid.*)

“The Legislative Committee comment to Civil Code section 3439.08, subdivision (a), provides that ‘good faith,’ within the meaning of the provision, ‘means that the transferee acted without actual fraudulent intent and that he or she did not collude with the debtor or otherwise actively participate in the fraudulent scheme of the debtor. The transferee’s knowledge of the transferor’s fraudulent intent may, in combination with other facts, be relevant on the issue of the transferee’s good faith’” (*Annod Corp. v. Hamilton & Samuels* (2002) 100 Cal.App.4th 1286, 1299 [citing Legis. Com. com., 12A West’s Ann. Civ. Code, *supra*, foll. § 3439.08, p. 359].)

“Fraudulent intent, collusion, active participation, fraudulent scheme” are “*deliberate wrongful conduct*.” (*Annod Corp. v. Hamilton & Samuels* (2002) 100 Cal.App.4th 1286, 1299 [emphasis in original] [internal quotations omitted].)

Lewis v. Superior Court (1994) 30 Cal.App.4th 1850, 1858–1859, *as modified on denial of reh’g* (Dec. 29, 1994) explains the good faith requirement as follows:

“The requirements of the fraudulent conveyance statute are: the term ‘good faith,’ as used in this subdivision and subdivision (d) [of Civ. Code § 3439.08] means that the transferee did not collude with the debtor or otherwise actively participate in the fraudulent scheme of the debtor. (See legis. committee com. 12 West’s Ann.Civ.Code (1994 pocket supp.) p.

161.) ‘Fraudulent intent,’ ‘collusion,’ ‘active participation,’ ‘fraudulent scheme’—this is the language of *deliberate wrongful conduct*. It belies any notion that one can become a fraudulent transferee by accident, or even negligently. It certainly belies the notion that guilty knowledge can be created by the fiction of constructive notice. (See *Richardson v. White* (1861) 18 Cal. 102, 106 [recognizing that constructive notice is a “fiction”].) (*Ibid.*)

Here, the Court finds that Defendant carried her burden and establish that she purchased the property “in good faith and for a reasonably equivalent value.”

First, Defendant provided evidence that she purchased the property at issue for a “reasonably equivalent value.” Defendant established that the property at issue appraised for the value that she bought the property, which establishes that she paid a reasonably equivalent value for the property. Defendant further testified that she purchased the property in good faith after finding it on Zillow. She toured the inside of property once before making an offer on the property. She also drove by the property once to show her daughter. (Deposition of Defendant Hein Nguyen, p. 53:2-8.) Defendant testified that she made an offer at the asking price “because the price is right according to what I can afford and I like the area.” (Defendant’s Ex G, Deposition of Defendant Hien Nguyen, p. 72:2-8.) On 12/12/2022, Defendant placed an offer to purchase the property for the \$715,000 asking price. (See Defendant’s Exhibit F.) On 12/27/2022, Seacliff Appraisal appraised the property for \$715,000. (See Defendant’s Exhibit F.) Defendant’s offer was accepted one week later. (Defendant’s Ex G, Deposition of Defendant Hien Nguyen, pp. 81:24-82:1.)

Second, Defendant also presents evidence that she did not and does not know the other Defendants, particularly those involved in prior business dealings with Plaintiffs and who are alleged debtors to Plaintiffs. (ROA, 418, Declaration of Defendant Hien Nguyen, ¶¶ 2 and 3 and Defendant’s Ex G, Deposition of Defendant Hien Nguyen, pp. 29:19-32:15.) She further testified that she did not know of Plaintiffs’ prior dealings with Defendants before purchasing the property.

Given the evidence above, the Court finds that Defendant carried her burden to establish that she purchased the property “in good faith and for a reasonably equivalent value.”

In opposition, Plaintiffs do not present evidence that creates a triable issue of material fact as to whether Defendant was acting “in good faith and for a reasonably equivalent value.”

Plaintiffs do not proffer evidence that the amount Defendant paid for the property was inappropriate. Plaintiffs do not provide a competing appraisal or other testimony or evidence that establishes that \$715,000 was an inappropriate price to purchase the subject property. Rather, Plaintiffs only argue that the appraisal is inadmissible. On this issue, the Court continued the hearing on this motion in order to allow Defendant to provide evidence that authenticates this appraisal, and to allow reply. Defendant provided such authentication and the Cour therefore finds that the appraisal is admissible.

Plaintiffs attempts to create a triable issue as to Defendant’s “good faith” by highlighting that Defendant did not know the appraised value prior to purchasing the property at issue and that, had Defendant looked at the appraisal, she would have seen allegedly suspect transfer/purchase history of the property. (Deposition of Defendant Hein Nguyen, pp. 33:6-8, 46:8-14 .) Plaintiffs argue that “Defendant’s deliberate blindness fundamentally undermines her ‘good faith’ claim.”

The Court disagrees. As caselaw establishes, Defendant must have committed a deliberate act in furtherance of the fraudulent scheme such that she was an active participant. The Court finds that the failure to review an appraisal does not amount to the requisite “*deliberate wrongful conduct*”

to constitute bad faith – especially when the only evidence before the Court establishes that the amount that the property was appraised and purchases is appropriate. Rather, such a failure would, at best, be negligence or constructive notice, which has been deemed insufficient in *Lewis v. Superior Court* (1994) 30 Cal.App.4th 1850, 1858–1859, *as modified on denial of reh'g* (Dec. 29, 1994).

Similarly, Plaintiffs have failed to create a triable issue of fact as to Defendant's good faith because Plaintiffs have not presented any evidence establishing that Defendant colluded with the debtor Defendants or was otherwise actively participating in a fraudulent scheme with the debtor Defendants. In fact, Plaintiffs present no evidence connecting Defendant to the debtor Defendants or establishing that Defendant knew the debtor Defendants or their connection or alleged obligations to Plaintiffs.

Instead, the only evidence before the Court is Defendant's declaration and deposition testimony that established that Defendant never knew and does not know the debtor Defendants or their prior dealings with Plaintiffs. (Deposition of Defendant Hein Nguyen, pp. 32:4-15 and 71:19-25.)

Plaintiffs also argue that this declaration is "self-serving." Plaintiffs do not, however, proffer evidence to establish that there are any triable issues of material fact as to the information provided in the declaration. Defendant's declaration is consistent with her deposition testimony wherein Defendant repeatedly testified that she did not know and does not know the other Defendants or Plaintiffs' prior dealings with those Defendants.

Given the above, the Motion for Summary Adjudication is **GRANTED as to the first cause of action**.

2. Second Cause of Action for Conspiracy to Fraudulently Convey Property

Plaintiffs' second cause of action is for conspiracy to fraudulently convey property. Defendant Nguyen argues that she is entitled to summary adjudication as to this cause of action because "Mrs. Nguyen did not engage in a conspiracy with the other Defendants, and because Mrs. Nguyen purchased the Subject Property in good faith and for a reasonably equivalent value."

"Conspiracy is not a cause of action, but a legal doctrine that imposes liability on persons who, although not actually committing a tort themselves, share with the immediate tortfeasors a common plan or design in its perpetration." (*AREI II Cases* (2013) 216 Cal.App.4th 1004, 1021.) "A civil conspiracy must be activated by the commission of an actual tort." (*Ibid.* [internal quotations omitted].)

"A party seeking to establish a civil conspiracy must show that each member of the conspiracy acted in concert and came to a mutual understanding to accomplish a common and unlawful plan, and that one or more of them committed an overt act to further it." (*AREI II Cases* (2013) 216 Cal.App.4th 1004, 1022 [internal quotations omitted].) "It is not enough that the [conspirators] knew of an intended wrongful act, they must agree—expressly or tacitly—to achieve it." (*Ibid.*) "It must be recognized, however, that because of the very nature of a conspiracy, its existence must often be inferentially and circumstantially derived from the character of the acts done, the relations of the parties and other facts and circumstances suggestive of concerted action." (*Ibid.*)

As established above, the only wrongful conduct alleged against Defendant is being part of the alleged fraudulent transfer of the property as a means for debtor Defendants to side step their alleged debts to Plaintiffs. As discussed above, Defendant did not commit any deliberate wrongful

act when she purchased the property at issue. Likewise, Plaintiffs present no triable issues of fact that establish that Defendant “acted in concert and came to a mutual understanding to accomplish a common and unlawful plan” with the other Defendants in order to “fraudulently transfer” the property. In fact, the only evidence before the Court in this motion for summary judgment and the related opposing papers is that Defendant did not know and still does not know the other Defendants. Based on the evidence before the court, Defendant therefore did not act in concert with and come to a mutual understanding with the debtor Defendants that she does not know and never knew.

The Motion for Summary Adjudication is **GRANTED as to the second cause of action**.

3. Third Cause of Action for Aiding And Abetting Fraudulent Conveyance of Property

Plaintiffs’ third cause of action is for aiding and abetting fraudulent conveyance of property.

Defendant Nguyen argues that she is entitled to summary adjudication as to this cause of action because she “did not knowingly provide substantial assistance to the tortious conduct of other Defendants and because she purchased the Subject Property in good faith and for a reasonably equivalent value.”

“California imposes liability on one who aids and abets the commission of an intentional tort if the person (a) knows the other's conduct constitutes a breach of duty and gives substantial assistance or encouragement to the other to so act or (b) gives substantial assistance to the other in accomplishing a tortious result and the person's own conduct, separately considered, constitutes a breach of duty to the third person.” (*Berger v. Varum* (2019) 35 Cal.App.5th 1013, 1025.)

Again, as discussed above, the evidence before the Court establishes that Defendant did not know the other Defendants and did not know about their prior dealings with Plaintiffs.

The Motion for Summary Adjudication is **GRANTED as to the third cause of action**.

4. Fourth Cause of Action for Accounting

Plaintiffs’ fourth cause of action is for accounting. Defendant Nguyen argues that she is entitled to summary adjudication as to this cause of action because “the sum at issue is certain and recoverable, and because Mrs. Nguyen did not engage in any wrongdoing.”

“An action for an accounting has two elements: (1) ‘that a relationship exists between the plaintiff and defendant that requires an accounting’ and (2) ‘that some balance is due the plaintiff that can only be ascertained by an accounting.’” (*Sass v. Cohen* (2020) 10 Cal. 5th 861, 869.) “An accounting action is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation.” (*Id.*) “[T]he defendant in an accounting action possesses information unknown to the plaintiff that is relevant for the computation of money owed.” (*Id.*) “An action for an accounting has been characterized as “a means of discovery.” (*Id.*)

Here, there is no relationship between Plaintiffs and Defendant that requires an accounting.

The Motion for Summary Adjudication is **GRANTED as to the fourth cause of action**.

5. Fifth Cause of Action for Imposition of a Constructive Trust and/or Preliminary and Permanent Injunction, and Accounting

Defendant Nguyen argues that she is entitled to summary adjudication as to the fifth cause of action because “this cause of action does not state a valid theory of liability and because Mrs. Nguyen purchased the Subject Property in good faith and for a reasonably equivalent value.”

In opposition, Plaintiffs argue that this cause of action depends on “the affirmative defense that Defendant has failed to prove.” As discussed in section 1 above, however, the court finds that Defendant has established this affirmative defense.

Given the Court’s ruling above, the Motion for Summary Adjudication is **GRANTED as to the fifth cause of action as well.**

In sum, the **Motion for Summary Judgment is GRANTED in its entirety.**

The Court finds that Seacliff Appraisal of the Subject Property, Defendant Hien Nguyen’s deposition transcripts, and Defendant Hien Nguyen’s declaration are all **admissible**. As such, the Court declines to rule on any additional evidentiary objections submitted by the parties as the Court need only rule on those evidentiary objections that it deems material to disposition of the motion. (Code Civ. Proc., § 437c, subd. (q).)

Plaintiff proffer admissions from Defendant K&A Kingdom Holdings LLC that were deemed admitted by Defendant K&A Kingdom Holdings LLC in the Court’s 04/24/2025 minute order. The Court notes that these admissions have been vacated and therefore **hold no weight**.

As to Defendants request for **judicial notice**, the motion is **GRANTED**. The Court notes, however, that “Courts can take judicial notice of the existence, content and authenticity of public records and other specified documents, *but does not take judicial notice of the truth of the factual matters asserted in those documents.*” (*Dominguez v. Bonta* (2022) 87 Cal.App.5th 389, 400, *as modified* (Jan. 6, 2023) [emphasis in original].)

Moving Defendant to give notice.

Motion 2- Motion for Terminating Sanctions against Defendant K&A Kingdom Holdings, LLC

Plaintiffs Joseph Dib and R & R Life is Amazing LLC (“Plaintiffs”) move pursuant to Code of Civil Procedure section 2023.030 for an order imposing terminating sanctions against Defendant K&A Kingdom Holdings, LLC plus \$8,894 in monetary sanctions.

The hearing on this motion was originally scheduled for October 9, 2025. On October 9, 2025, the Court continued the hearing on the motion because Plaintiffs did not establish that the moving papers were properly served. (ROA 424.)

On February 19, 2026, the Court held another hearing on this motion. (ROA 486.) The Court’s tentative ruling was to deny the motion without prejudice for failure to establish that the motion was properly served. The court took the motion under submission.

On March 2, 2026, continued the motion to 04/02/2026. The Court stated:

“[A]fter the Court posted its tentative ruling, Plaintiffs filed supplemental declarations that contained a proof of service that Motion was served on 06/16/2025. (ROAs 474 and 475.) At oral arguments, Defendant argued that it still has not received notice.

The hearing is **CONTINUED to April 2, 2026 at 1:30 pm in C34.**

At this hearing, the Court will address the merits of the motion. The Court finds that the proof of service provided in the supplemental declaration, see ROAs 474 and 475, along with Defendant’s attendance at the 02/19/2026 hearing clearly establish that Defendant has now received notice of this motion.

Opposition and reply briefs may be filed pursuant to code.” (ROA 488.)

On May 13, 2026, Defendant K&A Kingdom Holdings LLC UNTIMELY filed its opposition to this motion. Still, the Court exercises its discretion to consider the late-filed opposition. (*Rancho Mirage Country Club Homeowners Assn. v. Hazelbaker* (2016) 2 Cal.App.5th 252, 262 “[A] trial court has broad discretion to accept or reject late-filed papers.”].)

The Court will proceed to the merits of the motion.

Pursuant to Code of Civil Procedure section 2023.030, “the court, after notice to any affected party, person, or attorney, and after opportunity for hearing, may impose” certain “sanctions against anyone engaging in conduct that is a misuse of the discovery process.” Such misuses include but are not limited to “[f]ailing to respond or to submit to an authorized method of discovery” and “[d]isobeying a court order to provide discovery.” (Code Civ. Proc., § 2023.010(d) and (g).)

Under Code of Civil Procedure section 2023.030(a), the “court may impose a monetary sanction ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the reasonable expenses, including attorney’s fees, incurred by anyone as a result of that conduct.” (Code Civ. Proc., § 2023.030, subd. (a).)

Under Code of Civil Procedure section 2023.030(d)(1), the court may also “impose a terminating sanction by . . . [a]n order striking out the pleadings or parts of the pleadings of any party engaging in the misuse of the discovery process” or “[a]n order dismissing the action, or any part of the action, of that party.” (Code Civ. Proc., § 2023.030, subd. (d)(1) and (d)(3).)

“A decision to order terminating sanctions should not be made lightly. But where a violation is willful, preceded by a history of abuse, and the evidence shows that less severe sanctions would not produce compliance with the discovery rules, the trial court is justified in imposing the ultimate sanction.” (*Moofly Productions, LLC v. Favila* (2020) 46 Cal.App.5th 1, 12.)

A party’s repeated failure to “participate in the discovery process” and “failure to pay the monetary sanctions the superior court ordered” constitute grounds for terminating sanctions. (*Moofly Productions, LLC v. Favila* (2020) 46 Cal.App.5th 1, 12; *Liberty Mutual Fire Ins. Co. v. LcL Administrators, Inc.* (2008) 163 Cal.App.4th 1093, 1106 [holding the party’s persistent “pattern of failure or refusal to give meaningful responses to discovery” constituted grounds for terminating sanction]; *Mileikowsky v. Tenet Healthsystem* (2005) 128 Cal.App.4th 262, 280, as modified on denial of reh’g (May 4, 2005) [“Here the record is replete with evidence of Dr.

Mileikowsky’s failures to answer discovery requests despite numerous extensions sought and granted. Time and again, he refused to respond despite the issuance of court orders and monetary sanctions.”].)

Terminating sanctions are inappropriate if the “imposition of a lesser sanction will serve to protect the legitimate interests of the party harmed by the failure to provide discovery.” (*Thomas v. Luong* (1986) 187 Cal.App.3d 76, 81.) Even so, the trial court has “broad authority to levy the ultimate sanction when prior efforts yielded no results.” (*Liberty Mutual Fire Ins. Co. v. LcL Administrators, Inc.* (2008) 163 Cal.App.4th 1093, 1105.)

Here, the Court finds that Defendant’s conduct does not constitute grounds for Plaintiffs’ requested sanctions.

In opposition, Defendant contends that the failure to provide discovery responses was based on Defendant’s mistaken belief that the parties had reached a settlement agreement in May of 2025, after participating in serious settlement discussions since early 2025. (ROA 631, Declaration of Lawrence Hoodack, ¶ 6.) This motion was filed on 06/16/2025. Defendant states that after learning that the settlement was called off in November of 2025, Defendant thereafter served verified responses to the outstanding discovery on 12/18/2025. (ROA 631, Declaration of Lawrence Hoodack, ¶¶ 7 and 8, Ex. B.) The Court notes that Defense counsel did not attach Exhibit B to his declaration, showing service of the verified responses.

Although it appears that Defendant is now participating in discovery, Defendant still failed to keep apprised of the happenings in this case and did not timely provide the discovery at issue in the motion.

Given the above, the Court **GRANTS Plaintiffs’ request for monetary sanctions** in the amount of **\$994** (2 hours at \$450/hour plus \$94 for filing fees). Defendant shall provide these sanctions within 30 days of this order.

The Court **DENIES** the motion as to **Plaintiff’s request terminating sanctions**.

Defendant is also **ORDERED** to pay the **previously-ordered sanctions** within 30 days of this order.

Defendant to give notice.

Motion 3- Defendant K&A Kingdom Holdings LLC’s Motion to Vacate

Defendant K&A Kingdom Holdings LLC (“Defendant”) moves pursuant to Code of Civil Procedure section 473(b) and 2033.300 for an order vacating the Court’s 04/24/2025 minute order deeming requests for admission admitted by Defendant K&A Kingdom Holdings LLC.

Plaintiffs Joseph Dib and R&R Life is Amazing (“Plaintiffs”) oppose the motion.

Code of Civil Procedure section 2033.300 states:

“(a) A party may withdraw or amend an admission made in response to a request for admission only on leave of court granted after notice to all parties.

(b) The court may permit withdrawal or amendment of an admission only if it determines that the admission was the result of mistake, inadvertence, or excusable neglect, and that the party who obtained the admission will not be substantially prejudiced in maintaining that party's action or defense on the merits.

(c) The court may impose conditions on the granting of the motion that are just, including, but not limited to, the following:

(1) An order that the party who obtained the admission be permitted to pursue additional discovery related to the matter involved in the withdrawn or amended admission.

(2) An order that the costs of any additional discovery be borne in whole or in part by the party withdrawing or amending the admission.” (Code Civ. Proc., § 2033.300.)

“Section 2033.300 eliminates undeserved windfalls obtained through requests for admission and furthers the policy favoring the resolution of lawsuits on the merits. (*New Albertsons, Inc. v. Superior Court* (2008) 168 Cal.App.4th 1403, 1418 [citing *Wilcox v. Birtwhistle* (1999) 21 Cal.4th 973, 983, 90 Cal.Rptr.2d 260, 987 P.2d 727 (applying former § 2033, subd. (m)).].)

“The trial court's discretion in ruling on a motion to withdraw or amend an admission is not unlimited, but must be exercised in conformity with the spirit of the law and in a manner that serves the interests of justice.” (*New Albertsons, Inc. v. Superior Court* (2008) 168 Cal.App.4th 1403, 1420.) “Because the law strongly favors trial and disposition on the merits, any doubts in applying section 2033.300 must be resolved in favor of the party seeking relief.” (*Ibid.*)

Here, the Court finds that the admissions entered on 04/24/2025 were entered as a result of mistake, inadvertence, or excusable neglect. In particular, the Court finds that Defendant was operating under the mistaken understanding that the parties had reached or were on the brink of reaching a settlement in this case. The Court further finds that Plaintiffs will not be prejudiced by this relief because such relief will allow this case to be resolved on the merits. As caselaw establishes, even where the “record does not clearly establish that the mistake in admitting the matter was inexcusable or show that the withdrawal of the admission would substantially prejudice” party opposing the withdrawal, “the policy in favor of trial on the merits compels the conclusion that the motion to withdraw the admission should be granted.” (*New Albertsons, Inc. v. Superior Court* (2008) 168 Cal.App.4th 1403, 1421.)

The Motion is **GRANTED**.

Plaintiffs’ objections are **OVERRULED**.

Moving party to give notice.